

Xunce - H

Enterprise AI deployment creates a new growth pool; initiate at Overweight

We initiate coverage of Xunce Technology at **Overweight** with a HK\$160 Dec-27 price target, based on 20x 2028E P/E. Our investment case rests on Xunce's position in the enterprise AI implementation layer: as models become cheaper and more capable, enterprise adoption increasingly depends on connecting proprietary data, real-time business context and production systems to AI reliably. Xunce has built these capabilities through a decade of real-time data deployment and is now extending them from project delivery into reusable modules and usage-based Token monetization. This creates a path for growth to come increasingly from deeper consumption within deployed customers, while product reuse can improve delivery economics as the business scales. 1H26 provides early evidence of this transition, with rapid cross-industry growth, meaningful Token revenue and positive adjusted profit. We forecast 2026-28E revenue and adjusted net profit at 50% and 228% above consensus, respectively. The shares already price in strong AI growth, but we believe there could be further upside if Token expansion, module reuse and improving customer economics translate into sustained earnings and cash-flow growth.

- **AI expands Xunce's opportunity from data infrastructure into enterprise deployment.** General-purpose models can increasingly handle generic data and coding tasks, while production AI still requires proprietary context, governance, integration and reliability. Xunce is exposed to this residual implementation gap across a growing number of industries. AI also expands the spending pool as customers increasingly evaluate deployments against business improvement and operating outcomes, while agents can drive substantially higher machine consumption of enterprise data.
- **The key upside is a change in revenue quality, not only faster topline growth.** Xunce historically monetized through subscriptions and project/module delivery. Token adds usage as a new revenue driver, while an expanding library of reusable modules can reduce the incremental effort required for each new deployment. If this works, the business can progressively shift from customer growth requiring additional engineering toward greater revenue from existing deployments, supporting higher margins and stronger operating leverage.
- **The main debate is whether implementation scarcity converts into scalable financial returns.** Better models, cloud platforms and agent-ready enterprise systems can compress parts of Xunce's historical workload, while Token Cloud and hardware expansion add capital intensity. We therefore focus on Token expansion within existing customers, mature-customer gross margin, deployment efficiency and CFO/FCF. Our estimates sit above consensus because we expect stronger Token penetration and faster productization, with adjusted net profit reaching Rmb2,307mn by 2028E. Further rerating requires these operating advantages to become visible in recurring revenue, margins and cash generation.

Initiation Overweight

3317.HK, 3317 HK

Price (23 Sep 26): HK\$101.10

Price Target (Dec-27): HK\$160.00

Hong Kong Internet

Olivia Xu AC

(86-21) 6106 6138

olivia.w.xu@jpmorgan.com

SAC Registration Number: S1730525060001

Alex Yao

(86 21) 6106 6505

alex.yao@jpmorgan.com

SAC Registration Number: S1730523020001

J.P. Morgan Securities (China) Company Limited

Half Yearly Forecasts (FYE Dec)

Adj. EPS (HK\$)	2025A	2026E	2027E
H1	(0.35)	0.21A	0.48
H2	0.17	0.12	1.44
FY	(0.18)	0.33	1.92

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	92	93	79	73	
Growth	1	9	30	21	
Momentum	98				
Quality	91	90	91		
Low Vol	97	98			

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 17 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



— 3317.HK Price (HK\$)— MSCI-Cnx (rebased)

	YTD	1m	3m	12m
Abs	100.2%	-26.3%	-18.6%	-
Rel	110.4%	-23.1%	-23.1%	-

Company Data

Shares O/S (mn)	41,707
52-week range (HK\$)	382.80-38.02
Market cap (\$ mn)	537,579
Exchange rate	7.84
Free float (%)	13.8%
3M ADV (mn)	3.30
3M ADV (\$ mn)	50.7
Volatility (90 Day)	109
Index	MXCNX
BBG ANR (Buy Hold Sell)	8 0 0

Key Metrics (FYE Dec)

HK\$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	1,285	2,425	4,745	8,810
Adj. EBIT	(53)	132	778	2,887
Adj. EBITDA	(26)	155	836	2,987
Adj. net income	(55)	106	620	2,307
Adj. EPS	(0.18)	0.33	1.92	7.15
BBG EPS	(0.47)	0.29	1.00	2.18
Cashflow from operations	(89)	150	620	2,337
FCFF	(234)	(13)	411	2,064
Margins and Growth				
Revenue Growth Y/Y (%)	103.3%	88.7%	95.7%	85.7%
EBIT margin	(4.1%)	5.4%	16.4%	32.8%
EBIT Growth Y/Y (%)	(33.5%)	(349.7%)	491.8%	271.0%
EBITDA margin	(2.0%)	6.4%	17.6%	33.9%
EBITDA Growth Y/Y (%)	(54.0%)	(697.7%)	441.1%	257.2%
Net margin	(4.3%)	4.4%	13.1%	26.2%
Adj. EPS growth	(33.4%)	(279.7%)	484.7%	272.3%
Ratios				
Adj. tax rate	0.5%	4.5%	20.0%	20.0%
Interest cover	NM	41.1	222.7	795.2
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	40.1	NM	NM	NM
ROE	(2.8%)	4.3%	20.4%	46.3%
Valuation				
FCFF yield	(0.8%)	(0.0%)	1.3%	6.3%
Dividend yield	-	-	-	-
EV/Revenue	33.4	17.7	9.0	4.6
EV/EBITDA	NM	277.6	50.8	13.5
Adj. P/E	NM	307.8	52.7	14.1

Summary Investment Thesis and Valuation

We rate Xunce Overweight as the company is well positioned to monetize the implementation gap between general-purpose AI models and production enterprise systems. Enterprise deployment requires context, governance, integration, permissions and reliable execution, creating persistent demand beyond base-model capability. We believe Token/TokenOS and reusable modules provide a path for Xunce to convert repeated implementation work into standardized software and usage-based revenue. Successful productization should support shorter deployments, higher module reuse and improving revenue per employee, allowing enterprise AI demand to translate into stronger margins and cash generation.

Our Dec-27 PT of HK\$160 is based on 20x 2028E P/E. We believe the multiple appropriately reflects Xunce's strong exposure to enterprise AI deployment and its potential to shift toward more scalable software economics, while recognizing its smaller scale and the execution required to convert implementation expertise into repeatable products. We apply a 20x 2028E P/E, a premium to the c.15x we use for more mature application peers given Xunce's substantially faster growth and enterprise-AI exposure, partly offset by its smaller scale and still-developing software economics.

Performance Drivers

Market	6%
Region	1%
Macro	6%
Style	3%
Idiosyn.	85%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.28	0.25
Region: Hong Kong	0.14	0.09
Macro:		
HSI Volatility Index	-0.30	-0.16
JPM Forecast Revision EM	-0.29	-0.15
US 10 Year Yield	0.13	0.14
Quant Styles:		
Size	-0.09	-0.10
Quality	0.21	0.09
Growth	0.06	0.04

Industry: AI creates a growing enterprise implementation opportunity

Enterprise AI is moving from access to capable models toward deployment inside real business processes. Models increasingly understand language, documents and structured data, while lower inference costs expand the number of economically viable workflows. Turning this intelligence into production outcomes requires another set of capabilities: connecting proprietary and continuously changing data, controlling permissions, meeting security and governance requirements, integrating heterogeneous enterprise systems and maintaining reliability in production.

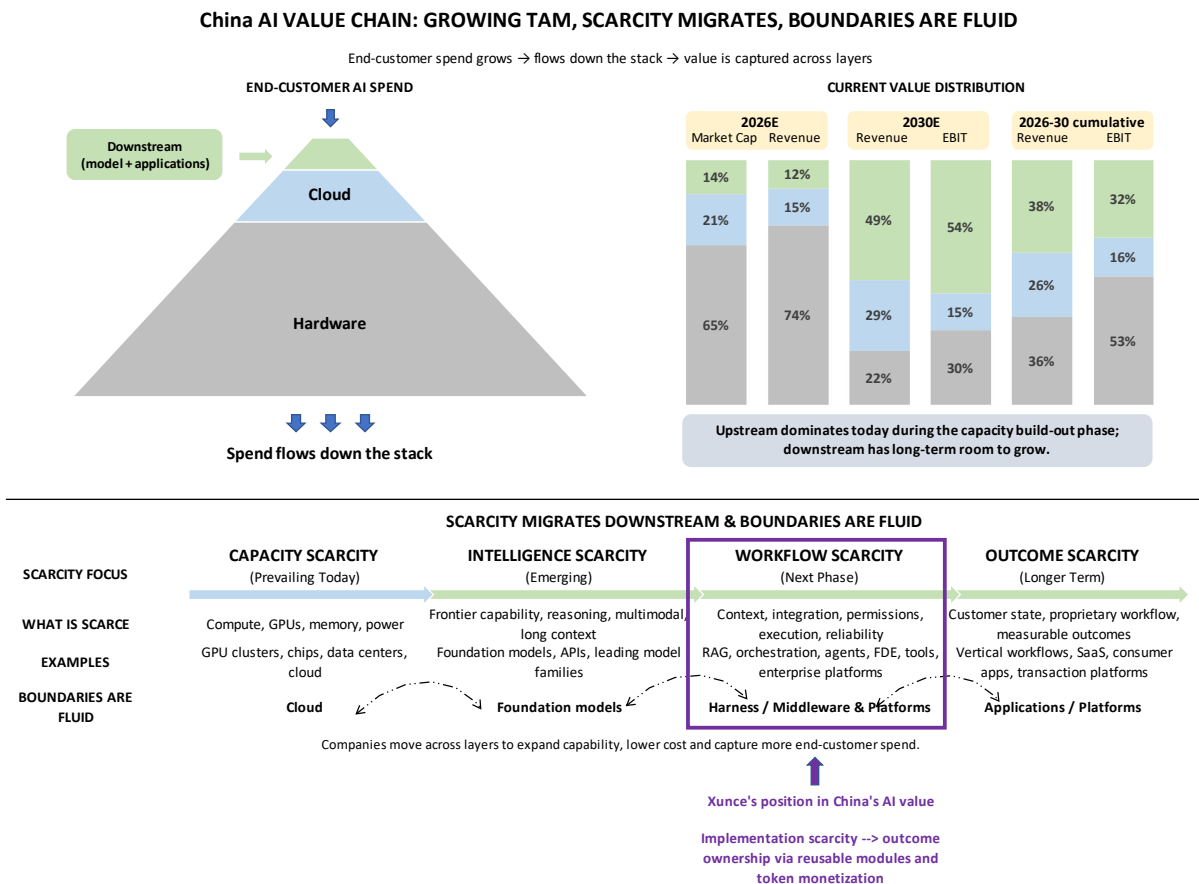
This implementation layer creates the opportunity for Xunce. **Parts of enterprise data work should become progressively easier as model capability improves.** Document parsing, basic transformation, SQL generation and standardized mapping can increasingly be automated. **At the same time, cheaper intelligence makes many more enterprise workflows worth automating.** The resulting increase in production deployments can expand demand for real-time context, governance and system integration even as the cost of individual implementation tasks declines.

China provides an additional opportunity because enterprise AI can broaden the underlying spending pool. Traditional enterprise software has largely competed for IT budgets. AI deployments that improve production yield, optimize energy consumption, support financial decisions or automate operating work can increasingly be assessed against the economic value of the underlying activity. Management indicates that stronger AI customers already view these investments through business improvement and strategic transformation budgets. This supports a larger potential customer wallet if deployments continue to demonstrate measurable value.

Agents strengthen this demand link. Enterprise data systems historically served employees interacting with software at human frequency. Agents can continuously retrieve data, update context and execute workflows, increasing machine-to-machine consumption. This provides a natural tailwind for Xunce's Token model because monetization can follow usage rather than employee seats. Useful production consumption remains the relevant measure: scenarios per customer, usage per scenario, retention and resulting business value should ultimately matter more than aggregate Token volume.

For more broad-based industry discussions, please refer to our China AI value chain industry note: [*China AI value chain: The expanding pie and race for value: Initiate broader coverage.*](#)

Figure 1: Xunce's position in China AI value chain



Source: J.P. Morgan estimates, Bloomberg Finance L.P. (date as of Sep 11, 2026)

Company and business model: from real-time data infrastructure to enterprise AI usage

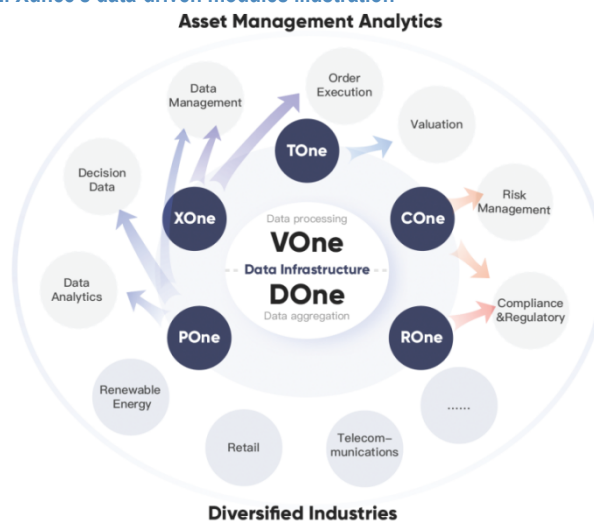
Xunce started in 2016 with real-time data infrastructure for asset managers, an industry with demanding requirements around accuracy, timeliness and reliability. It gradually developed capabilities across data collection, processing, governance, computation and analytics, then replicated parts of this stack into ns, energy, advanced manufacturing, healthcare and other industries. Revenue increased from Rmb530mn in 2023 to Rmb1.3bn in 2025, while the company accumulated more than 300 reusable modules. This first stage established the operating model that underpins Xunce today. Revenue therefore combined subscriptions with project- and module-based transactions. AI adds a second monetization layer. The economic significance is that the customer can continue consuming the resulting capability after the initial deployment.

The revenue model can therefore evolve from customers × subscription ARPU and customers × modules × module price toward customers × scenarios × usage × realized Token price. This creates the possibility that an existing customer generates progressively more revenue as it deploys additional AI workflows. Token revenue reached Rmb105mn in 1H26, equivalent to 11% of group revenue, and management

targets a 20-30% contribution by year-end. For us, the important transition is the emergence of existing-customer usage as an independent growth driver. Xunce is also moving into adjacent parts of the value chain. Token Cloud extends the company into compute deployment, hardware adaptation and integrated AI infrastructure, reflecting customer demand for combined delivery across compute, data and models. Token Router aims to connect enterprise demand with scenario Tokens and professional models, while enterprise small models provide another route for customers requiring privacy, latency or domain-specific deployment.

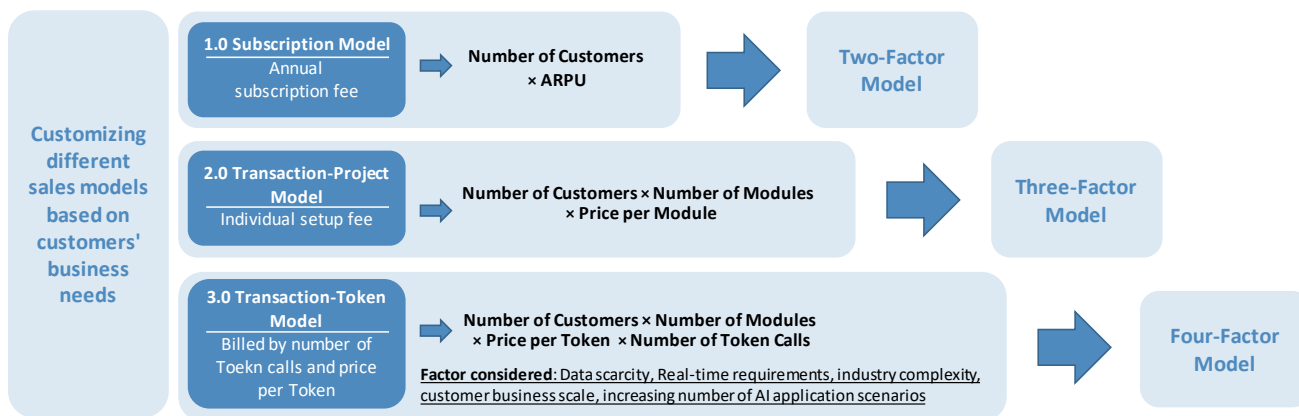
These extensions widen the addressable customer wallet, although their economics vary considerably. Token Cloud introduces more working capital and infrastructure investment.

Figure 2: Xunce's data-driven modules illustration



Source: Xunce, company prospectus (Dec 18, 2025).

Figure 3: Xunce's pricing and sales model



Source: Xunce, company prospectus (Dec 18, 2025), J.P. Morgan.

Scarcity: the value sits in making proprietary context usable in production

Xunce's scarcity comes from enterprise implementation complexity. Customers generally own the underlying proprietary data, permissions and business state. We believe the more durable sources of scarcity are **real-time context, governance, heterogeneous-system integration, production reliability and customer trust**. Enterprise data are fragmented across legacy and modern systems, change continuously and operate under company-specific permissions and business rules. These requirements create a harder engineering problem than simply connecting a model API to a static dataset. Xunce developed many of these capabilities before the current generative-AI cycle. The relevance of this history lies in the accumulated implementation knowledge and customer relationships rather than ownership of the underlying customer data.

Scarcity will continue to move as models improve. Generic data preparation, parsing, coding and schema work should become more automated, reducing the unit value of simpler engineering tasks. Standard connectors and better enterprise APIs can further compress parts of the integration layer. Xunce therefore needs its economic mix to migrate toward the deeper part of the implementation stack where customer-specific context and production requirements remain important. **Competition can also enter from adjacent layers.** Model providers are moving from APIs toward agents and enterprise deployment. Cloud vendors combine compute, data platforms and existing enterprise relationships.

Xunce is responding by broadening its own position through Token OS, Token Cloud and downstream usage monetization. The strategic value of this expansion depends on whether it strengthens the company's role around scarce context and deployment. Owning more layers can improve customer outcomes and increase wallet share; it can also internalize activities with lower differentiation and lower returns. **We therefore expect the financial mix to reveal whether boundary expansion creates economic value.**

Defensibility and value capture: productization the core test

Enterprise deployment creates customer stickiness because replacing a production data and integration layer can affect operating continuity, data quality and compliance. Xunce reports customer retention above 90%, providing some evidence of this embedded position. The key operating loop is **customer requirement, then deployment, then reusable module, then shorter subsequent deployment, then recurring usage**. Module count alone provides limited information about scalability. We would look for evidence that modules are repeatedly deployed across customers, implementation cycles shorten, gross profit per technical employee rises and customer margins improve as deployments mature. Rapid revenue growth and a changing hardware/compute mix also contribute to these ratios, making gross-profit and cohort economics more informative over time.

Xunce's FDE-style organization is best viewed as a learning mechanism. Token adds a second route to value capture. Token revenue can rise inside an installed customer as AI penetrates more scenarios and agents generate more machine activity. The next evidence should therefore come from retention and expansion. Logo retention above 90% demonstrates that customers stay; NRR would show whether customer spending compounds. Token customer count, scenarios per customer, usage per scenario, realized pricing and Token gross margin would further clarify whether rapid ARR growth is becoming durable recurring economics. **We believe these metrics will eventually matter more to valuation than headline Token growth.**

Scenario-specific Token pricing also creates potential upside to capture. Current disclosure is still insufficient to establish sustained pricing power, leaving realized price, retention and gross margin as important future proof points. This is also where our forecasts differ from consensus: we forecast 2026-28E revenue 2%/22%/50% above consensus, reflecting stronger Token penetration, more expansion within existing customers and continued cross-industry deployment. Our adjusted net-profit estimates are 40%/92%/228% above consensus, as we expect revenue growth to outpace R&D and administrative spending while product reuse supports gradual margin improvement.

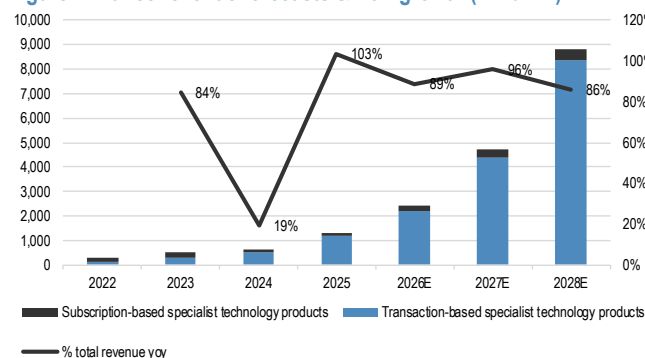
Financial quality and cash flow: operating leverage is emerging alongside higher capital needs

1H26 provides the first meaningful evidence that Xunce's rapid growth can translate into operating leverage. Revenue increased 389% YoY to Rmb967mn, gross profit rose 340% to Rmb581mn and the company generated attributable net profit of Rmb72.5mn and adjusted net profit of Rmb67mn. R&D continued to grow in absolute terms, while R&D/revenue fell sharply as revenue scaled. We focus more on operating gross profit and expense leverage than reported earnings because investment and other income contributed to 1H26 profit. The core financial thesis requires recurring business growth to support higher operating margins over time.

Gross-margin progression provides the most important test. Asset management achieved an 81.9% gross margin in 1H26, while diversified industries were at around 57%. If the productization thesis works, customer and vertical economics should improve as deployments mature, existing modules are reused and Token contributes more revenue. This creates a useful cohort framework. Early customers can carry heavier deployment costs and lower margins; mature customers should require less incremental engineering and generate more recurring usage. A sustained move in mature diversified cohorts toward 70%+ gross margins would provide strong evidence of software-like economics. Mature margins remaining around 50-60% would imply that complexity continues to require substantial service resources.

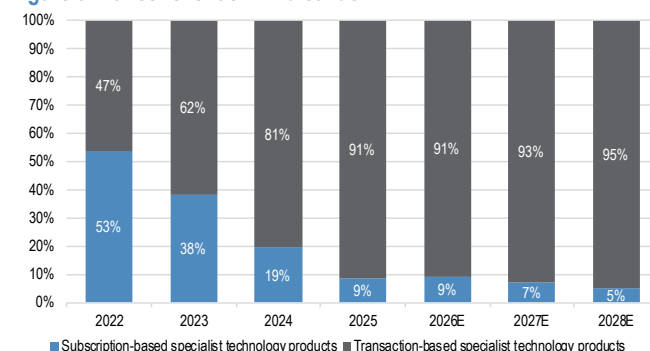
Cash conversion has become equally important because Xunce is investing in compute and hardware through Token Cloud. These activities require upfront cash, inventory or equipment and working capital. The company had around Rmb600mn of cash at 1H26 after increased infrastructure investment, with subsequent financing materially strengthening liquidity. The balance sheet therefore provides sufficient capacity for near-term expansion. We focus on the return generated by that capital. The relevant progression is **gross-profit growth, then operating leverage, then CFO/FCF, then incremental ROIC**. Token Cloud creates shareholder value when the additional infrastructure investment generates durable customer usage and attractive gross profit. A rising share of hardware and compute accompanied by weak cash conversion would dilute the economic quality of the software and Token businesses.

Figure 4: Xunce revenue forecasts & YoY growth (Rmb mn)



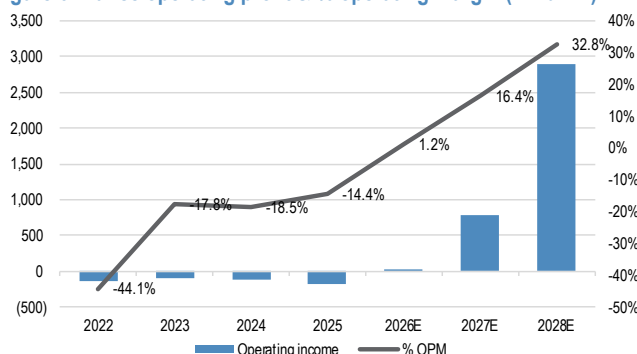
Source: Xunce, Annual Report, FY2025, company prospectus (Dec 18, 2025), J.P. Morgan estimates.

Figure 5: Xunce revenue mix breakdown



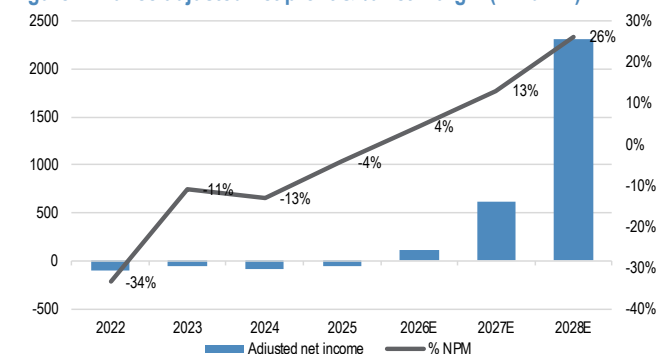
Source: Xunce, Annual Report, FY2025, company prospectus (Dec 18, 2025), J.P. Morgan estimates.

Figure 6: Xunce operating profit & % operating margin (Rmb mn)



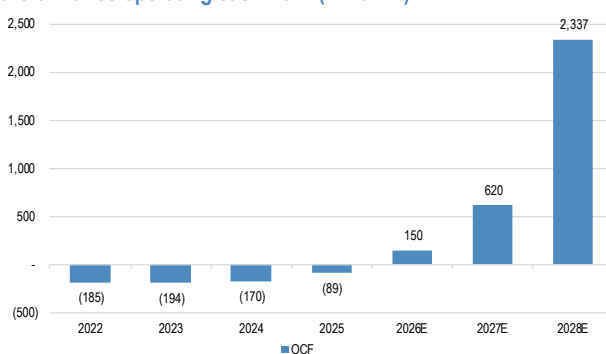
Source: Xunce, Annual Report, FY2025, company prospectus (Dec 18, 2025), J.P. Morgan estimates.

Figure 7: Xunce adjusted net profit & % net margin (Rmb mn)



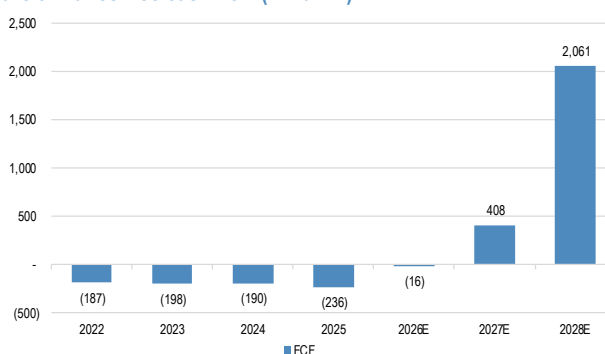
Source: Xunce, Annual Report, FY2025, company prospectus (Dec 18, 2025), J.P. Morgan estimates.

Figure 8: Xunce operating cash flow (Rmb mn)



Source: Xunce, Annual Report, FY2025, company prospectus (Dec 18, 2025), J.P. Morgan estimates.

Figure 9: Xunce free cash flow (Rmb mn)



Source: Xunce, Annual Report, FY2025, company prospectus (Dec 18, 2025), J.P. Morgan estimates.

Table 1: Xunce's P&L

Rmb mn	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	288	530	632	1,285	2,425	4,745	8,810
YoY %			19%	103%	89%	96%	86%
COGS	63	111	147	493	968	1,895	3,359
Gross profit	225	419	485	792	1,457	2,851	5,451
Opex							
Selling and marketing expenses	(24)	(37)	(41)	(50)	(137)	(165)	(198)
Research and development expenses	(259)	(379)	(450)	(616)	(979)	(1,530)	(2,088)
General and administrative expenses	(68)	(82)	(91)	(147)	(180)	(231)	(278)
Impairment losses on financial assets	(0)	(15)	(18)	(161)	(127)	(144)	0
Other operating income (loss), net	(0)	(1)	(1)	(2)	(3)	(2)	0
Operating expense	(352)	(514)	(601)	(977)	(1,427)	(2,072)	(2,564)
Operating profit (reported)	(127)	(94)	(117)	(185)	30	778	2,887
Operating profit (JP)	(127)	(79)	(99)	(23)	157	922	2,887
Non-operating items							
Finance costs	(1)	(1)	(2)	(2)	(4)	(4)	(4)
Share of profits less losses of associates and joint ventures	(1)	(1)	(0)	(0)	0	0	0
Other income (loss), net	32	33	22	58	89	0	0
PBT	(97)	(63)	(98)	(130)	116	774	2,883
Income tax credits/(expense)	0	(0)	(0)	(0)	(10)	(155)	(577)
Net income	(97)	(63)	(98)	(130)	106	620	2,307
Non-controlling interests	(21)	(8)	(14)	(36)	(9)	(51)	(190)
Net income to owners of the parent	(75)	(55)	(84)	(94)	115	671	2,496
Add: one-off non-recurring gains	0	5	15	75	0	0	0
Adjusted net income/loss (Non-HKFRS measure)	(97)	(58)	(82)	(55)	106	620	2,307
EBITDA	(81)	(44)	(72)	(101)	155	836	2,987
Adjusted EBITDA	(81)	(39)	(56)	(26)	155	836	2,987
Per share (Rmb/share)							
Weighted average shares:							
Basic	270	290	300	300	323	323	323
Dilute	270	290	300	300	323	323	323
EPS (basic)	(0.28)	(0.19)	(0.28)	(0.31)	0.36	2.08	7.74
EPS (diluted)	(0.28)	(0.19)	(0.28)	(0.31)	0.36	2.08	7.74
Adjusted EPS (basic)	(0.36)	(0.20)	(0.27)	(0.18)	0.3	1.9	7.1
Adjusted EPS (diluted)	(0.36)	(0.20)	(0.27)	(0.18)	0.3	1.9	7.1

Source: Xunce, Annual Report, FY2025, company prospectus (Dec 18, 2025), J.P. Morgan estimates.

Table 2: Xunce's balance sheet

Rmb mn	2022	2023	2024	2025	2026E	2027E	2028E
ASSETS							
Current assets:							
Cash and cash equivalents and Restricted bank deposits	749	597	344	1,086	1,069	1,477	3,538
Time deposits	-	54	33	-	-	-	-
Trade receivables	77	266	252	672	949	1,486	2,484
Prepayments, other receivables and other assets	97	72	92	169	255	399	593
Financial assets at fair value through profit or loss	148	171	187	127	127	127	127
Total current assets	1,070	1,161	907	2,053	2,400	3,489	6,741
Property and equipment	3	5	19	155	297	462	649
Goodwill	389	389	389	389	389	389	389
Right-of-use assets	13	12	24	30	24	19	14
Intangible assets	34	28	23	27	21	16	9
Investments in joint ventures & associates	20	23	23	22	22	22	22
Prepayments, other receivables and other assets	5	10	13	16	24	37	62
Equity investments designated at fair value through other comprehensive income	125	216	245	276	276	276	276
Financial assets at fair value through profit or loss	123	173	169	184	184	184	184
Time deposits	83	32	20	21	21	21	21
Total non-current assets	795	888	925	1,119	1,258	1,425	1,626
TOTAL ASSETS	1,865	2,049	1,832	3,172	3,658	4,914	8,367
LIABILITIES AND EQUITY							
Current liabilities:							
Trade payables	19	59	27	381	524	718	891
Contract liabilities	90	71	28	62	94	147	218
Financial liabilities at fair value through profit or loss	4	-	-	-	-	-	-
Interest-bearing bank borrowings	17	46	28	48	48	48	48
Lease liabilities	7	8	8	10	10	10	10
Income tax payable	-	0	0	0	0	0	0
Other payables and accruals	106	93	74	230	304	417	619
TOTAL CURRENT LIABILITIES	243	277	165	731	980	1,340	1,786
Lease liabilities	5	4	18	20	23	26	30
Contract liabilities	1	-	-	-	-	-	-
Other non-current liabilities	-	-	-	-	-	-	-
TOTAL LIABILITIES	248	281	183	751	1,003	1,366	1,817
Shareholders' equity:							
Paid-in capital/share capital	129	300	300	323	323	323	323
Reserves	1,376	1,365	1,260	2,036	2,270	3,163	6,165
Total shareholders' equity	1,505	1,665	1,560	2,358	2,592	3,486	6,488
Noncontrolling interests	111	103	89	62	62	62	62
TOTAL EQUITY	1,616	1,767	1,649	2,421	2,655	3,548	6,550

Source: Xunce, Annual Report, FY2025, company prospectus (Dec 18, 2025), J.P. Morgan estimates.

Table 3: Xunce's cash flow statement

Rmb mn	2022	2023	2024	2025	2026E	2027E	2028E
Operating activities							
Net income	(96.5)	(63.4)	(97.708)	(129.6)	106	620	2,307
Adjustments:							
Finance costs	1	1	2	2	4	4	4
Share of profits less losses of associates and joint ventures	1	1	0	0	(0)	0	0
Interest income	(8)	(10)	(5)	(3)	(3)	(3)	(3)
Net loss/(gain) on disposal of property and equipment	0	0	0	0	0	0	0
Impairment losses on financial assets, net	0	15	18	161	161	161	161
Depreciation on property and equipment	2	2	5	12	24	47	88
Depreciation of right-of-use assets	8	10	13	10	5	5	5
Amortization of intangible assets	5	6	6	6	5	5	7
Gain on lease modification	0	0	0	(1)	(1)	(1)	(1)
(Gain)/loss on early termination of lease	0	0	0	(0)	(0)	(0)	(0)
Fair value gains on financial assets at fair value through profit or loss	(7)	(12)	(2)	(41)	(41)	(41)	(41)
Exchange differences, net	(2)	(1)	(1)	3	3	3	3
Operating losses before working capital changes	(96)	(50)	(60)	19	263	800	2,529
Net changes in working capital:	(95)	(150)	(114)	(110)	(123)	(335)	(769)
Interest received	6	7	4	3			
Income tax paid	(0)	(0)	(0)	0	10	155	577
Others	0	0	0	(0)			
Net cash provided by operating activities	(185)	(194)	(170)	(89)	150	620	2,337
Cash flows from investing activities							
Purchases of property, plant and equipment	(2)	(4)	(20)	(147)	(167)	(212)	(275)
Purchases of intangible assets	(5)	(0)	(0)	(10)			
Purchases of financial assets at fair value through profit or loss	(327)	(249)	(112)	(12)			
Purchases of equity investments designated at fair value through other comprehensive income	(35)	(96)	(49)	-			
Advances of loans to a shareholder	-	(8)	(107)	32			
Repayment of loans from a shareholder	-	8	107	(35)			
Proceeds from disposal of financial assets at fair value through profit or loss	249	164	101	99			
Placement of time deposits	(72)	-	(21)	(240)			
Maturity of time deposits	-	-	54	273			
Others	48	(4)	-	-	0	0	0
Net cash used in investing activities	(143)	(190)	(46)	(41)	(167)	(212)	(275)
Cash flows from financing activities							
New bank borrowings	18	48	30	84	-	-	-
Repayment of bank borrowings	(7)	(19)	(47)	(64)			
Capital contribution expenses	(10)	(7)	(6)	(5)			
Capital contribution from shareholders	763	220	-	-			
Capital contribution from non-controlling interests	30	-	-	(2)			
Payment for listing expenses	-	-	-	(2)			
Proceeds from issuance of shares	-	-	-	872			
Repayment of principal portion of lease payments	(8)	(9)	(11)	(9)	3	3	4
Interest paid	(1)	(1)	(2)	(2)	(4)	(4)	(4)
Other financing activities	-	-	-	-	-	-	-
Net cash provided by financing activities	785	232	(36)	871	(1)	(0)	0
Exchange gain/loss	2	0	(0)	1			
Net increase in cash and cash equivalents	459	(152)	(253)	742	(17)	408	2,061
Cash and cash equivalents at beginning of year	290	749	597	344	1,086	1,069	1,477
Cash and cash equivalents at end of year	749	597	344	1,086	1,069	1,477	3,538

Source: Xunce, Annual Report, FY2025, company prospectus (Dec 18, 2025), J.P. Morgan estimates.

Valuation and shareholder returns: earnings growth needs to carry the next leg

We value Xunce at 20x 2028E P/E and derive a HK\$160 price target. **We view P/E as an appropriate consolidated framework once earnings become meaningful, while using revenue mix, gross margin and cash flow to judge the quality of those earnings.** The valuation premium to traditional China IT services is supported by materially faster growth and the possibility that Token and reusable deployment assets shift the business toward recurring usage economics. We believe Token NRR, mature diversified-industry gross margin, gross profit per employee and CFO/FCF are the most useful indicators. Palantir provides a useful long-term economic reference because it demonstrates that complex enterprise deployment and customer-facing engineering can coexist with high software margins and strong cash generation when implementation knowledge becomes sufficiently productized.

Table 4: JPMe versus consensus

YE 31 Dec	FY2026			FY2027		
Figures in Rmb mn	JPMe	Consensus	% delta	JPMe	Consensus	% delta
Net revenues	2,425	2,375	2%	4,745	3,887	22%
Gross profit	1,457	1,463	0%	2,851	2,437	17%
Selling and distribution expenses	(137)			(165)		
R&D expenses	(979)			(1,530)		
G&A expenses	(180)			(231)		
Operating profit	157	159	-1%	922	452	104%
PBT	116	77	50%	774	372	108%
Net income	106			620		
Net income, adjusted	106	76	40%	620	323	92%
EPS (Rmb/share)	0.4	0.5	-32%	2.1	2.5	-17%
Adjusted EPS (Rmb/share)	0.3	0.3	14%	1.9	1.0	91%
Margin analysis (%)						
Gross margin	60.1%	61.6%	-1.5%	60.1%	62.7%	-2.6%
Operating margin	6.5%	6.7%	-0.2%	19.4%	11.6%	7.8%
Net margin	4.4%			13.1%		
Net margin, adjusted	4.4%	3.2%	1.2%	13.1%	8.3%	4.8%

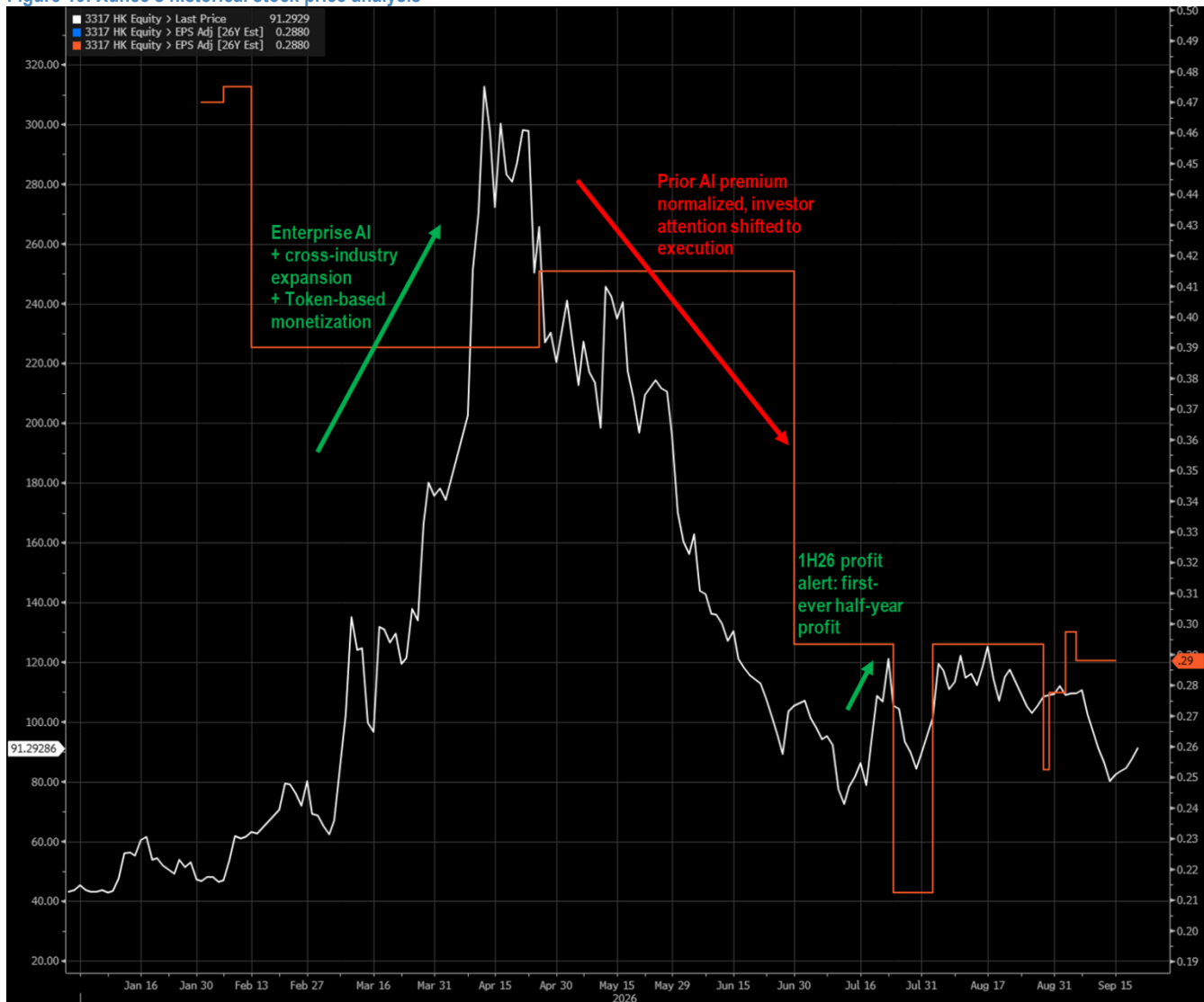
Source: Bloomberg Finance L.P., as of 21 September 2026, J.P. Morgan estimates.

Historical share price analysis: the first rerating priced the opportunity; the next leg requires earnings delivery

Since listing in late 2025, we believe the most relevant operating history of share price movement is the transition from rapid data-infrastructure growth before listing toward an AI and Token-driven valuation narrative after listing. Future shareholder returns should increasingly be driven by earnings growth. Capital allocation is part of this equation. **We therefore expect the market to focus increasingly on incremental gross profit and cash flow generated for each unit of new capital.**

Xunce listed in December 2025 at HK\$48 and initially traded close to its offer price, before a sharp rerating in early 2026 as investors increasingly priced in the company's exposure to enterprise AI, cross-industry expansion and the potential for Token-based monetization. The subsequent correction was similarly sharp, with the shares falling to around HK\$81 by July as the initial AI premium normalized and investor attention shifted toward execution, earnings and the sustainability of Token economics. **We expect future returns to be increasingly driven by earnings delivery, Token expansion within existing customers, improving mature-customer margins and cash conversion.**

Figure 10: Xunce's historical stock price analysis



Source: Bloomberg Finance L.P., data as of September 21, 2026, J.P. Morgan.

Risks and catalysts

The main risks to our Overweight rating relate to whether Xunce can convert rising enterprise AI adoption into a more scalable and recurring business model. Enterprise demand is growing, but production deployment remains complex and customers are becoming more focused on measurable ROI. Xunce therefore needs to show that higher Token consumption leads to recurring revenue, improving margins and stronger cash generation. We see four main risks: slower enterprise AI deployment, limited product reuse, weaker Token revenue quality and declining scarcity in enterprise AI implementation.

- **Enterprise AI ROI could take longer to prove, slowing production deployment.** Customers are increasingly moving from experimentation toward measuring the business value of AI workloads. This should improve the quality

of demand over time, but it can also remove low-value Token consumption and lengthen deployment decisions. Growth could slow if customers reduce experimental usage, delay production rollouts or struggle to justify AI spending against measurable productivity gains. We would therefore focus on production workloads, customer retention and recurring revenue rather than headline Token growth alone.

- **Limited module reuse could keep the business closer to services economics.** Xunce's long-term margin opportunity depends on reusing models, agents, data connectors and workflow modules across customers. Persistent customization would require more engineering resources for each deployment and limit operating leverage. Diversified-industry gross margin, module reuse and gross profit per employee are therefore important indicators of productization. Faster improvement in these metrics would show that accumulated deployment experience is becoming reusable software rather than remaining embedded in individual projects.
- **Rapid Token growth may not translate into equally attractive economics.** Token Cloud creates a direct route from enterprise AI usage to recurring revenue, but revenue quality depends on retention, realized pricing and gross margin. Capacity built ahead of demand could reduce utilization, while aggressive model and inference price declines could pressure revenue per Token. Higher usage could also increase working-capital or infrastructure requirements. We would therefore assess Token growth together with Token NRR, realized pricing, gross margin and cash conversion. Strong usage growth with weak margins or CFO would provide limited evidence of incremental value capture.
- **The implementation scarcity that Xunce monetizes could decline as enterprise AI infrastructure matures.** Xunce currently benefits from the difficulty of connecting models with enterprise data, systems, permissions and workflows. Better foundation models, standardized connectors, cloud platforms and more agent-ready enterprise software should reduce some of this complexity over time. Customers may also develop more AI capabilities internally. Xunce therefore needs to move up the value chain before basic implementation becomes easier. Deeper ownership of reusable workflow modules, enterprise context and production execution would make the business less dependent on deployment complexity itself.

The main upside catalysts would be evidence that enterprise AI adoption is improving both growth and business quality. Token revenue reaching management's year-end contribution target would provide another proof point, while disclosure of Token NRR, realized pricing and gross margin would allow investors to assess the quality of that growth. Continued improvement in diversified-industry gross margin, module reuse and gross profit per employee would strengthen the productization thesis. Stronger operating cash flow and FCF would provide the clearest evidence that growth is becoming less dependent on incremental engineering and infrastructure investment. We see **simultaneous growth in recurring Token revenue, module reuse, mature-customer margins and cash generation** as the strongest evidence that Xunce is moving from enterprise AI implementation toward a more scalable software and workflow platform.

Investment Thesis, Valuation and Risks

Shenzhen Xunce Technology Co., Ltd. - H *(Overweight; Price Target: HK\$160.00)*

Investment Thesis

We rate Xunce Overweight as the company is well positioned to monetize the implementation gap between general-purpose AI models and production enterprise systems. Enterprise deployment requires context, governance, integration, permissions and reliable execution, creating persistent demand beyond base-model capability. We believe Token/TokenOS and reusable modules provide a path for Xunce to convert repeated implementation work into standardized software and usage-based revenue. Successful productization should support shorter deployments, higher module reuse and improving revenue per employee, allowing enterprise AI demand to translate into stronger margins and cash generation.

Valuation

Our Dec-27 PT of HK\$160 is based on 20x 2028E P/E. We believe the multiple appropriately reflects Xunce's strong exposure to enterprise AI deployment and its potential to shift toward more scalable software economics, while recognizing its smaller scale and the execution required to convert implementation expertise into repeatable products. We apply a 20x 2028E P/E, a premium to the c.15x we use for more mature application peers given Xunce's substantially faster growth and enterprise-AI exposure, partly offset by its smaller scale and still-developing software economics.

Risks to Rating and Price Target

Downside risks include slower enterprise AI adoption, prolonged customer deployment cycles and weaker-than-expected productization of implementation work. Improving foundation models could reduce the complexity of some integration and workflow-construction tasks, while larger cloud and software vendors could expand into enterprise deployment. Lower module reuse, continued reliance on labor-intensive projects or weaker cash collection would limit margin expansion and valuation upside.

Xunce - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	632	1,285	2,425	4,745	8,810	Cash flow from operating activities	(170)	(89)	150	620	2,337
COGS	(147)	(493)	(968)	(1,895)	(3,359)	o/w Depreciation & amortization	24	27	35	58	100
Gross profit	485	792	1,457	2,851	5,451	o/w Changes in working capital	(114)	(110)	(123)	(335)	(769)
SG&A	(132)	(198)	(317)	(396)	(476)	Cash flow from investing activities	(46)	(41)	(167)	(212)	(275)
Adj. EBITDA	(56)	(26)	155	836	2,987	o/w Capital expenditure	(20)	(147)	(167)	(212)	(275)
D&A	(23)	(27)	(23)	(58)	(100)	as % of sales	3.1%	11.5%	6.9%	4.5%	3.1%
Adj. EBIT	(79)	(53)	132	778	2,887	Cash flow from financing activities	(36)	871	(1)	(0)	0
Net Interest	(2)	(2)	(4)	(4)	(4)	o/w Dividends paid	-	-	-	-	-
Adj. PBT	(60)	2	217	774	2,883	o/w Shares issued/(repurchased)	-	-	-	-	-
Tax	(0)	(0)	(10)	(155)	(577)	o/w Net debt issued/(repaid)	(17)	20	0	0	0
Minority Interest	14	36	9	51	190	Net change in cash	(253)	742	(17)	408	2,061
Adj. Net Income	(82)	(55)	106	620	2,307	Adj. Free cash flow to firm	(188)	(234)	(13)	411	2,064
Reported EPS	(0.28)	(0.31)	0.36	2.08	7.74	y/y Growth	(4.5%)	24.6%	(94.5%)	(332.4%)	402.0%
Adj. EPS	(0.27)	(0.18)	0.33	1.92	7.15						
DPS	-	-	-	-	-						
Payout ratio	-	-	-	-	-						
Shares outstanding	300	300	323	323	323						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	344	1,086	1,069	1,477	3,538	Gross margin	76.7%	61.7%	60.1%	60.1%	61.9%
Accounts receivable	252	672	949	1,486	2,484	EBITDA margin	(8.9%)	(2.0%)	6.4%	17.6%	33.9%
Inventories	-	-	-	-	-	EBIT margin	(12.5%)	(4.1%)	5.4%	16.4%	32.8%
Other current assets	563	967	1,331	2,012	3,203	Net profit margin	(13.0%)	(4.3%)	4.4%	13.1%	26.2%
Current assets	907	2,053	2,400	3,489	6,741	ROE	(5.1%)	(2.8%)	4.3%	20.4%	46.3%
PP&E	-	-	-	-	-	ROA	(4.2%)	(2.2%)	3.1%	14.5%	34.7%
LT investments	415	460	460	460	460	ROCE	(4.8%)	(2.6%)	5.0%	20.2%	45.9%
Other non current assets	514	703	848	1,021	1,228	SG&A/Sales	20.9%	15.4%	13.1%	8.4%	5.4%
Total assets	1,832	3,172	3,658	4,914	8,367	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	28	48	48	48	48	Net debt/EBITDA	5.6	40.1	NM	NM	NM
Payables	27	381	524	718	891	Sales/Assets (x)	0.3	0.5	0.7	1.1	1.3
Other short term liabilities	110	302	408	573	847	Assets/Equity (x)	1.2	1.3	1.4	1.4	1.3
Current liabilities	165	731	980	1,340	1,786	Interest cover (x)	NM	NM	41.1	222.7	795.2
Long-term debt	-	-	-	-	-	Operating leverage	204.6%	(32.4%)	(394.0%)	513.9%	316.3%
Other long term liabilities	18	20	23	26	30	Tax rate	(0.2%)	0.5%	4.5%	20.0%	20.0%
Total liabilities	183	751	1,003	1,366	1,817	Revenue y/y Growth	19.1%	103.3%	88.7%	95.7%	85.7%
Shareholders' equity	1,560	2,358	2,592	3,486	6,488	EBITDA y/y Growth	45.8%	(54.0%)	(697.7%)	441.1%	257.2%
Minority interests	89	62	62	62	62	EPS y/y Growth	36.7%	(33.4%)	(279.7%)	484.7%	272.3%
Total liabilities & equity	1,832	3,172	3,658	4,914	8,367						
BVPS	5.20	7.86	8.03	10.80	20.11						
y/y Growth	(9.3%)	51.1%	2.2%	34.5%	86.1%						
Net debt/(cash)	(316)	(1,038)	(1,021)	(1,429)	(3,490)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	NM	NM	307.8	52.7	14.1						
P/BV (x)	19.4	12.9	12.6	9.4	5.0						
EV/EBITDA (x)	NM	NM	277.6	50.8	13.5						
Dividend Yield	-	-	-	-	-						

Source: Company reports and J.P. Morgan estimates.

Note: HK\$ in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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Xunce - H (3317.HK, 3317 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.

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